

ELEPHANTS

past 30 years, with only 11 companies consistently remaining in
new-age companies like Zomato **BY RAHUL OBEROI**



pletely re-invented itself over the years. First going up and down the value chain in oil and petrochemicals, and then adding on completely different areas,” she adds.

However, Vivek Sharma, Investment Head of Estee Advisors, notes a common theme among these 11 firms. With the exception of SBI, which is a state-run entity, they are not standalone businesses; rather they are portfolios of businesses. “A significant portion of their revenue is derived from their subsidiaries operating across both related and unrelated industries,” he says.

For instance, L&T operates in over 10 different sectors. Reliance has a presence across oil & gas, retail, telecom, media, and several other unrelated industries. M&M,

too, spans across 20 industries.

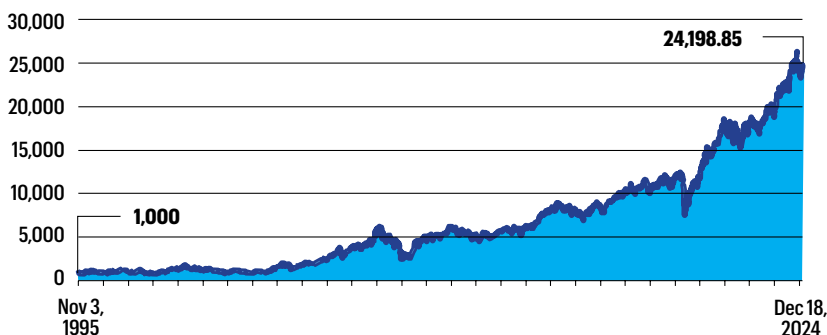
“Just like a portfolio of stocks allows investors to avoid overconcentration and smooth out performance, a portfolio of businesses helps companies stabilise their revenue streams over time. This diversification enables them to remain large and resilient for extended periods and hold their position in the indices,” explains Sharma.

According to data, 12 companies, including Ranbaxy Laboratories and Pond’s (India), which were part of the Nifty 50 in 1996, have either merged or been acquired. In the most recent instance, the country’s largest mortgage lender, Housing Development Finance Corporation, merged with HDFC Bank in 2023.

“Successful stories like Reliance

SURGING AHEAD

The Nifty 50 rose over 24 times since inception



NOTE THE NIFTY 50 INDEX WAS LAUNCHED ON APRIL 22, 1996, WITH A BASE DATE OF NOVEMBER 3, 1995, AND 1,000 AS ITS BASE VALUE

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